BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) NO. 18/ALD/2023

(First Motion)

(Under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

LT BUILDWELL PRIVATE LIMITED
Having its Registered Office at:
Regus Assotech, Business Cresterra,
Plot No. 22 Upper Ground Floor,
Tower 2, Sector 135, Noida,
Uttar Pradesh 201301.
PAN:-AACCL6404C,
Jurisdictional IT Dept: Ward 1(1), Range Code 101, ITO 1, Kolkata

TRANSFEROR COMPANY / APPLICANT COMPANY

AND

VANDANA GRIHA NIRMAN LIMITED
Having its Registered Office:
42, Shibtala Street, 3rd Floor
Kolkata, West Bengal-700007
PAN:-AAACV8816E
Jurisdictional IT Dept: DCIT/ACIT, Central Circle, Ghaziabad, Uttar Pradesh

TRANSFEREE COMPANY / NON-APPLICANT COMPANY

Order delivered on: 25th July, 2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

-Sd-

-Sd-

Physically Present:-

For the Applicant Company: **Krishna Dev Vyas (Advocate)**

ORDER

1. This is a First motion Application filed by the Applicant Company namely- LT Buildwell Private Limited (the Transferor Company/Applicant Company) under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of LT Buildwell Private Limited with Vandana Griha Nirman Limited. The said Scheme is attached as **Annexure-12** in VOL-2 at Page No 254 to 271 of the Application.

2. The Applicant Company has prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders and Unsecured Creditors of the Applicant Transferor Company. The Applicant Company does not have any Secured Creditor.

-Sd- -Sd-

3. The Transferor Company is engaged in the business of layout, developing, constructing, building, erecting, demolishing, re-erecting, altering, remodeling and other allied activities in connection with any building scheme, roads, highways, docks, ship sewer, etc.

4. It is submitted that the Transferor Company has its registered office in the State of Uttar Pradesh hence is under the jurisdiction of this Bench. Whereas, the Transferee Company has its registered office in the State of West Bengal hence is under the jurisdiction of the Hon'ble National Company Law Tribunal, Bench at Kolkata. The Learned Counsel for the Applicant Company submits that a separate 1st Motion Application bearing CA (CAA) No. 144 of 2023 on behalf of the Transferee Company has already been filed before the Kolkata Bench.

5. The rationale of the Scheme is given below :-

(a) The Transferor Company is engaged in the business of layout, developing, constructing, building, erecting, demolishing, re-erecting, altering, remodelling and other allied activities in connection with any building scheme,

roads, highways, docks, ship sewer, etc. The Transferee Company is registered with the Reserve Bank of India as a Non-Banking Financial Company and carries on business of dealing in shares and other related NBFC activities.

(b) For the optimum running, growth and development of the business and undertakings of the Transferor Company and the Transferee Company with their combined resources and a larger capital and asset base, it is considered desirable and expedient to amalgamate the Transferor Company with the Transferee Company in the manner and the terms and conditions stated in this Scheme of Amalgamation.

(c) The amalgamation will enable appropriate consolidation and integration of the activities of the Transferor Company and the Transferee Company with pooling and more efficient utilization of their resources, reduction in overheads and other expenses and improvement in various other operating parameters. The amalgamation will result in the formation of a larger and stronger entity having greater capacity for conducting its operations more efficiently and competitively. The Scheme is proposed accordingly and will have beneficial

results for the said Companies, their shareholders, employees and all concerned.

(d) The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

6. It is stated that the Board of Directors of the Applicant Company in its meeting held on 29.05.2023 has considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Hon'ble Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are annexed with the Application as **Annexure No.6/Vol.2** with the application.

7. The appointed date of the Scheme is 01.04.2023 as mentioned in the Para. 1(ii) in Part I under definition of the Scheme of Amalgamation at Page No.225 in Vol.2 which is annexed as Annexure No.12 with the application.

8. It is stated that the Applicant Company has filed their Audited Financial Statements as on 31.03.2022 and has also filed their Unaudited Financial Statements (provisional) as on

31.03.2023 and the same are annexed together as **Annexure No.2/Vol.1** with the Application.

9. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Company and Non-Applicant Company have filed Certificates dated 15.06.2023 and 07.06.2023 respectively issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as **Annexure: A-13/Vol.2** with Application.

10. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Mr. Ankush Garg, Registered Valuer in respect of Securities or Financial Assets with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV/02/2018/10010 and the same is annexed as **Annexure No.14/Vol.2** with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report:

"6 (Six) Equity Shares of VGNL (Transferee Company) of INR 10/- each fully paid up for 1 (One) Equity Shares of LTBPL (Transferor Company) of INR 10/- each fully paid up".

11. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 8 of the Part II of the Scheme **(Annexure – A-12/Vol.2**) of this application.

12. It is submitted by the Ld. Counsel for the Applicant that there are no sectoral regulator in the Applicant Company whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department.

13. It is further submitted by the Ld. Counsel during the course of hearing that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to / approval from the Competition Commission of

India (CCI) is required for the present Scheme of Amalgamation.

14. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against the Applicant Company. Further, it is also submitted that neither any winding up application has been filed against the Applicant Company nor there are any liquidation proceedings against the Applicant Company. The Applicant Company is not facing any CIRP process nor has been struck off from Registrar of Companies.

15. The applicant company have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2022 and Unaudited Financial Statement (Provisional) as on 31.03.2023 of the Applicant Companies (Annexure No.2/Vol.1 with the Application.).

b) List of Equity Shareholders of the applicant company duly certified by the Chartered Accountant along with respective consent affidavits of equity shareholders approving the

-Sd-

-Sd-

Scheme and dispensing with the requirement to convene the meeting. (Annexure No.7/Vol.2 with the Application.).

c) Nil List of Secured Creditors of the applicant company duly certified by the Chartered Accountant (Annexure No.8/Vol.2 with the Application.).

d) List of Unsecured Creditors of the applicant company duly certified by the Chartered Accountant (Annexure No.9/Vol.2 with the Application.).

e) Certified true copy of extract of the minutes of the board resolution of the Applicant Company and the Non-Applicant Company approving the Scheme. (Annexure No.6/Vol.2 and Annexure No.11/Vol.2 respectively, with the Application.).

f) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure No.14/Vol.2 with the Application.).

g) Proposed Scheme of Amalgamation (Annexure No.12/Vol.2 with the Application.).

h) Certificates of Statutory Auditors of the respective companies to the effect that accounting treatment proposed in the

-Sd-

-Sd-

Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure No.13/Vol.2 with the Application.).

16. That the Applicant Company have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	No. of Equity Shareholders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
Transferor Company No.1/Applicant Company No.1	04	**All (100%)**	NIL	NA	1	**All (100%)**

17. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company /Applicant Company:-

a) The meeting of the Equity Shareholders of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

-Sd-

-Sd-

b) Since, there are no Secured Creditors in the Transferor Company/Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

18. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

-Sd-

-Sd-

19. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

20. That appropriate prayer would also be made in the second motion petition for publication in newspaper

21. With the aforesaid directions, the First Motion Application bearing CA (CAA)No.18/ALD/2023 is disposed of accordingly.

22. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

-Sd-

(ASHISH VERMA)
Member (Technical)

-Sd-

(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)